

Cambridge International AS & A Level

★ PREDICTED PAPER — FOR REVISION USE ★

ECONOMICS

9708/03M

Paper 3 A Level Multiple Choice

Practice Series 2026

Difficulty: Moderate

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are thirty questions on this paper. Answer all questions.
- For each question there are four possible answers A, B, C and D. Choose the one you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do not use correction fluid.
- Do not write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has 12 pages. Any blank pages are indicated.

- 1** A consumer allocates their income between two goods to maximise total utility. The consumer is in equilibrium. What is the condition for this equilibrium?
- A** The marginal utility of both goods is zero.
 - B** The marginal utility of both goods is equal.
 - C** The marginal utility per dollar spent on each good is equal.
 - D** The total utility of each good is equal.
- 2** Which statement best describes allocative efficiency?
- A** Price equals the lowest average cost.
 - B** Price equals marginal cost.
 - C** Average revenue equals average cost.
 - D** Marginal revenue equals marginal cost.
- 3** In the short run, a firm in perfect competition will continue to produce, despite making a loss, as long as:
- A** total revenue exceeds total cost.
 - B** average revenue exceeds average total cost.
 - C** average revenue exceeds average variable cost.
 - D** marginal revenue exceeds average fixed cost.
- 4** Which of the following is a characteristic of a monopoly?
- A** A large number of firms.
 - B** Freedom of entry to the market.
 - C** Significant barriers to entry.
 - D** Firms are price takers.
- 5** A firm doubles all its inputs and output more than doubles. This illustrates:
- A** diseconomies of scale.
 - B** constant returns to scale.
 - C** economies of scale.
 - D** diminishing marginal returns.
- 6** Which of the following is most likely to be an example of price discrimination?
- A** A restaurant charging more for meals at weekends.
 - B** A train company charging different fares at peak and off-peak times for the same journey.
 - C** A supermarket charging a higher price for premium-brand products than for own-brand.
 - D** A car manufacturer charging more for a car with a more powerful engine.
- 7** An oligopolistic market is most likely to be characterised by:
- A** price-taking behaviour.
 - B** perfect information.
 - C** mutual interdependence between firms.
 - D** homogeneous products.

- 8** A contestable market is one in which:
- A** firms make supernormal profit in the long run.
 - B** entry and exit are costless.
 - C** only one firm operates.
 - D** government regulation prevents competition.
- 9** The marginal revenue product (MRP) of labour is equal to:
- A** the marginal product of labour.
 - B** the marginal cost of labour.
 - C** the marginal product of labour multiplied by the marginal revenue of output.
 - D** the wage rate.
- 10** A trade union successfully negotiates a wage rate above the equilibrium wage in a competitive labour market. The most likely consequence is:
- A** an increase in employment in that market.
 - B** unemployment in that market.
 - C** higher marginal productivity.
 - D** an inward shift of the supply of labour.
- 11** A negative externality of production exists when:
- A** marginal private cost exceeds marginal social cost.
 - B** marginal social cost exceeds marginal private cost.
 - C** marginal private benefit exceeds marginal social benefit.
 - D** marginal social benefit exceeds marginal private benefit.
- 12** The Coase theorem suggests that externalities can be internalised if:
- A** the government imposes a Pigouvian tax.
 - B** the government issues tradable permits.
 - C** property rights are clearly defined and transaction costs are low.
 - D** firms are nationalised.
- 13** Which of the following is most likely to be classified as a public good?
- A** Basic healthcare provided by the state.
 - B** State school education.
 - C** A public park open to all.
 - D** A lighthouse providing warning signals to ships.
- 14** Government failure may arise when:
- A** markets fully internalise externalities.
 - B** the cost of government intervention exceeds the benefits.
 - C** property rights are clearly defined.
 - D** firms earn normal profits.

- 15** Asymmetric information in an insurance market can lead to:
- A** perfect competition.
 - B** economies of scale.
 - C** adverse selection.
 - D** allocative efficiency.
- 16** The Gini coefficient is a measure of:
- A** the rate of economic growth.
 - B** inflation.
 - C** income inequality.
 - D** unemployment.
- 17** Which of the following is most likely to increase the long-run potential output of an economy?
- A** An increase in aggregate demand.
 - B** A cut in interest rates.
 - C** An increase in investment in education.
 - D** A depreciation of the currency.
- 18** The Human Development Index (HDI) includes all of the following EXCEPT:
- A** life expectancy at birth.
 - B** years of schooling.
 - C** gross national income per capita.
 - D** the rate of inflation.
- 19** If the marginal propensity to consume is 0.8, the value of the simple spending multiplier is:
- A** 1.25
 - B** 1.8
 - C** 4
 - D** 5
- 20** Demand-pull inflation is most likely to be caused by:
- A** a fall in labour productivity.
 - B** an increase in the price of imported raw materials.
 - C** a rise in indirect taxes.
 - D** a rise in consumer spending when the economy is near full employment.
- 21** The short-run Phillips curve shows the relationship between:
- A** economic growth and inflation.
 - B** unemployment and inflation.
 - C** unemployment and economic growth.
 - D** interest rates and inflation.

- 22** An increase in the Bank Rate is most likely to:
- A** increase consumer spending.
 - B** increase aggregate demand.
 - C** decrease the exchange rate.
 - D** decrease investment.
- 23** A government pursuing expansionary fiscal policy is most likely to:
- A** raise income tax rates.
 - B** reduce government spending.
 - C** reduce direct taxes.
 - D** increase the Bank Rate.
- 24** Which of the following is a supply-side policy?
- A** A rise in VAT.
 - B** A reduction in the Bank Rate.
 - C** Investment in training and education.
 - D** An increase in unemployment benefits.
- 25** The Marshall–Lerner condition is satisfied when:
- A** $PED_x + PED_m > 1$
 - B** $PED_x + PED_m < 1$
 - C** $PED_x = PED_m$
 - D** $PED_x - PED_m = 1$
- 26** A country with a persistent current account deficit must necessarily have:
- A** a capital/financial account surplus.
 - B** a capital/financial account deficit.
 - C** a balanced capital/financial account.
 - D** a floating exchange rate.
- 27** Absolute advantage exists when a country can produce a good:
- A** with a lower opportunity cost than another country.
 - B** with a higher opportunity cost than another country.
 - C** using fewer resources than another country.
 - D** using more resources than another country.
- 28** A tariff on imported steel in the US is most likely to:
- A** increase consumer surplus in the US.
 - B** decrease producer surplus in the US.
 - C** decrease the price paid by US consumers.
 - D** decrease the quantity of steel imported.
- 29** Which organisation aims to promote free international trade?
- A** International Monetary Fund (IMF)

- B** World Bank
 - C** World Trade Organization (WTO)
 - D** Organisation for Economic Co-operation and Development (OECD)
- 30** A depreciation of the UK pound against the euro is likely to:
- A** make UK exports to the Eurozone more expensive.
 - B** make UK imports from the Eurozone cheaper.
 - C** improve the UK current account if the Marshall–Lerner condition holds.
 - D** reduce UK inflation.